THE CREDIT LINE

A new measure of the CLO arbitrage spread

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Deal-matched arbitrage spread shows a more structurally compressed USD opportunity set

For collateralized loan obligation (CLO) investors and managers, the arbitrage spread is a common proxy for the attractiveness of origination, performance, and valuation of CLO equity investments. Traditional CLO arbitrage metrics compare new-issue leveraged loan spreads with CLO weighted average cost of debt, but they miss the actual excess spread embedded in newly created CLOs. Using deal- and tranche-level data, we construct a deal-matched arbitrage measure for USD and EUR CLOs. While it broadly tracks traditional measures, it also shows a more pronounced secular tightening in USD broadly syndicated loan CLO arbitrage as the market has matured. In our view, the growing role of captive equity capital is an important driver, leaving EUR equity optically cheaper, though not necessarily more attractive once weaker regional fundamentals are considered.

Resets are printing tighter

Matching original vintages to subsequent reset and refinancing activity shows that tighter liabilities do not automatically translate into better economics. Since 2023, USD asset spread tightening has generally kept pace with, and in many cases exceeded, liability spread improvement, limiting the benefit of resets. In EUR, reset economics have held up better, helped by less aggressive asset spread compression vs. the USD market.

Lower liability costs do not require sacrificing arbitrage spread

Across manager tiers, tighter liabilities have not consistently come at the expense of lower excess spread. In USD, *higher-tier* managers have generally printed slightly wider arbitrage spreads, while in EUR *lower-tier* managers have tended to do so. In our view, this reflects greater liability dispersion in USD vs. greater asset spread dispersion in EUR.

A new measure of the CLO arbitrage spread

For CLO investors and managers, the arbitrage spread is a common proxy for the attractiveness of origination, performance, and valuation of CLO equity investments. Traditionally, measures of the arbitrage spread take the difference between new issue loans and the weighted-average cost of CLO debt. While this captures the prevailing differential, it does not capture the actual excess spread at which managers are printing transactions, particularly once resets and refinancings are included. Using deal- and tranche-level data from Intex, we construct a deal-level measure of CLO arbitrage spreads for USD and EUR transactions at origination. Three conclusions stand out.

First, arbitrage spreads have compressed in both USD and EUR broadly syndicated loan CLOs, but the compression has been more pronounced in USD over the past two years. In our view, this likely reflects the increasing presence of captive equity capital in the USD market. As a result, we think this makes EUR equity valuations structurally cheaper, but we are cautious about drawing too sanguine of a conclusion from the wider differential given a less supportive fundamental backdrop in the region.

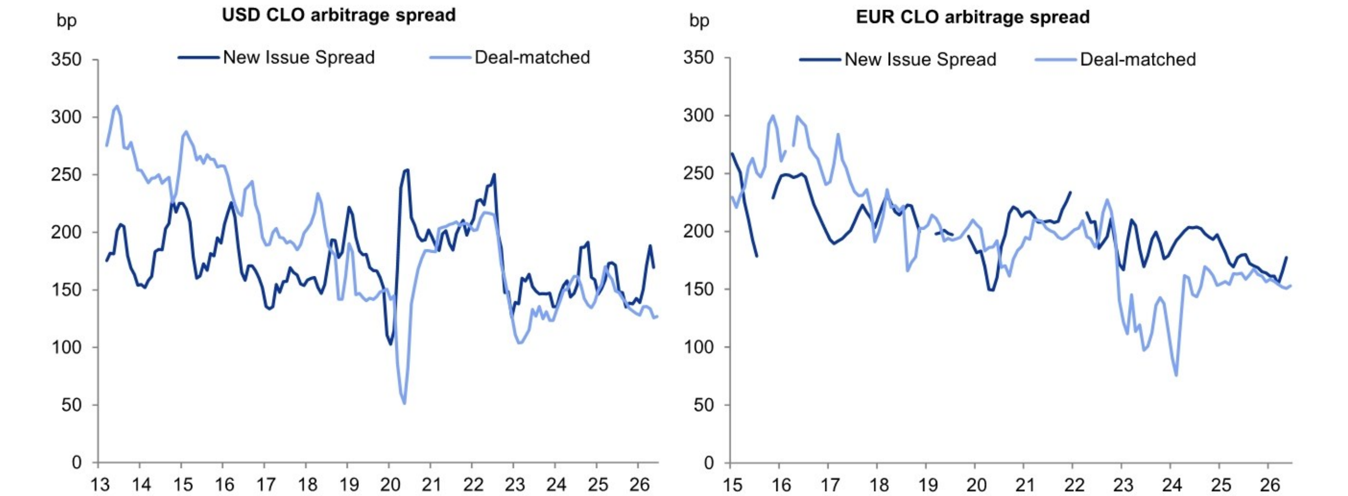
Second, when looking at resets and refinancings, the change in arbitrage is less straightforward than is often assumed. Liability spreads typically tighten when deals are reset, but asset spreads can tighten as well, particularly in periods of heavy repricing activity. This is because CLO issuers typically tend to reprice their structures during risk-on periods, or when investor sentiment is receptive because other 'new money' investment opportunities may be less plentiful (and are eager to stay invested). Over recent vintages, we find that asset spread tightening has generally kept pace with, and in many USD cases exceeded, liability spread improvement. The result is that reset economics have become less favorable in USD than the tightening in tranche liability spreads alone would imply. In EUR, by contrast, reset economics have generally held up better.

Third, comparing arbitrage outcomes across manager tiers suggests that lower debt costs do not necessarily come at the expense of lower excess spread. In the USD market, higher-tier managers have generally printed deals with slightly wider arbitrage spreads than lower-tier peers. In EUR, the opposite pattern holds, with lower-tier managers tending to print a wider arbitrage. The underlying reason appears to be that USD manager differentiation is more visible on the liability side, while EUR dispersion is greater on the asset side (possibly due to the smaller size of the EUR market).

Deal-level CLO arbitrage spread

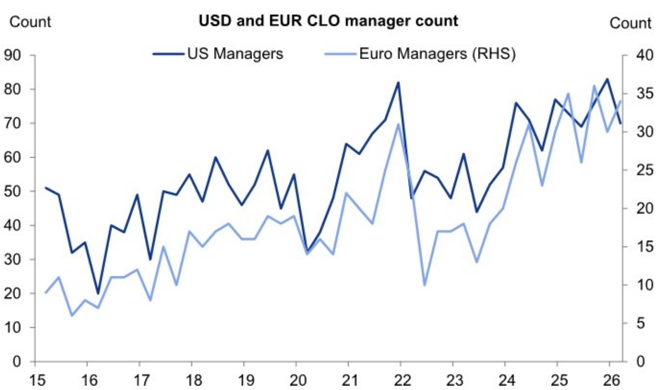
Using deal level data from Intex, we construct the CLO arbitrage spread for USD and EUR CLOs. The deal-level spreads generally track the traditional measure of new issue arbitrage spreads, which is calculated by taking the difference between new issue loan and CLO debt spreads (Exhibit 1). However, especially in the USD market, we note a secular trend towards tighter arbitrage spreads as the space has matured and more CLO managers now participate in the USD and EUR markets (Exhibit 2). Deal-matched arbitrage spreads also allow us to look at the arbitrage for Middle Market, or private credit USD CLOs. In the absence of new direct lending market spreads, we can use deal-level liabilities and asset spreads to construct a series that generally matches direct lending spreads (Exhibit 3).

Exhibit 1: The deal-level arbitrage spreads generally correlate with the new issue calculations
Deal-matched arbitrage spread is trailing 3-month deal-weighted figure; new Issue spread uses new issue loan spreads net monthly new issue weighted average cost of CLO debt (3-months smoothed)



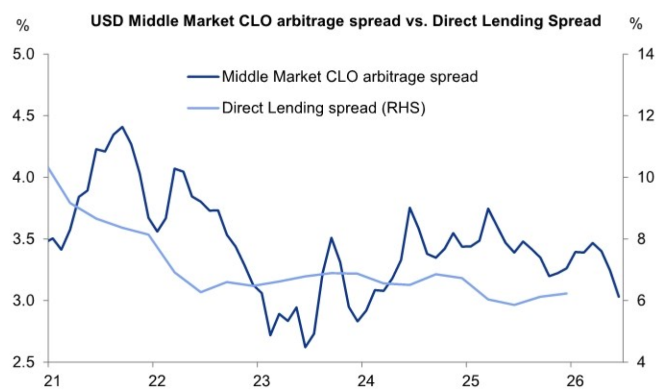
Source: Intex, PitchBook LCD, Goldman Sachs Global Investment Research

Exhibit 2: The trend towards tighter arbitrage spreads coincides with more managers in a more mature market



Source: PitchBook LCD, Goldman Sachs Global Investment Research

Exhibit 3: USD Middle Market CLO arbitrage spreads have tightened towards 300bp
Direct Lending spread calculated as difference between CDLI yield-to-maturity and 3-month LIBOR (SOFR after December 2020)



Source: Intex, Cliffwater, Goldman Sachs Global Investment Research

That tightening in BSL arbitrage spreads has been especially visible in the USD market. Part of the explanation is cyclical, including a stronger technical demand and lower net loan supply. But we think an important structural driver has been the growth of captive equity funds. These vehicles, which typically commit capital across multiple vintages and cede manager selection and deployment discretion to the originating firm, have altered the behavior of the equity base in the USD market. Market participants have increasingly pointed to captive equity as a force that reduces the sensitivity of equity demand to spot arbitrage conditions. In effect, vintage diversification and continuity of deployment have become more important than maximizing entry spread on any single transaction.

For equity investors, the presence of non-return seeking participants should depress equity returns, all else equal. To be clear, the relationship between spot arbitrage and realized CLO equity returns is far from mechanical. But less attractive starting spreads reduce the headroom for credit losses available to equity investors who opt to both trade and choose their equity investments on a deal-by-deal basis.

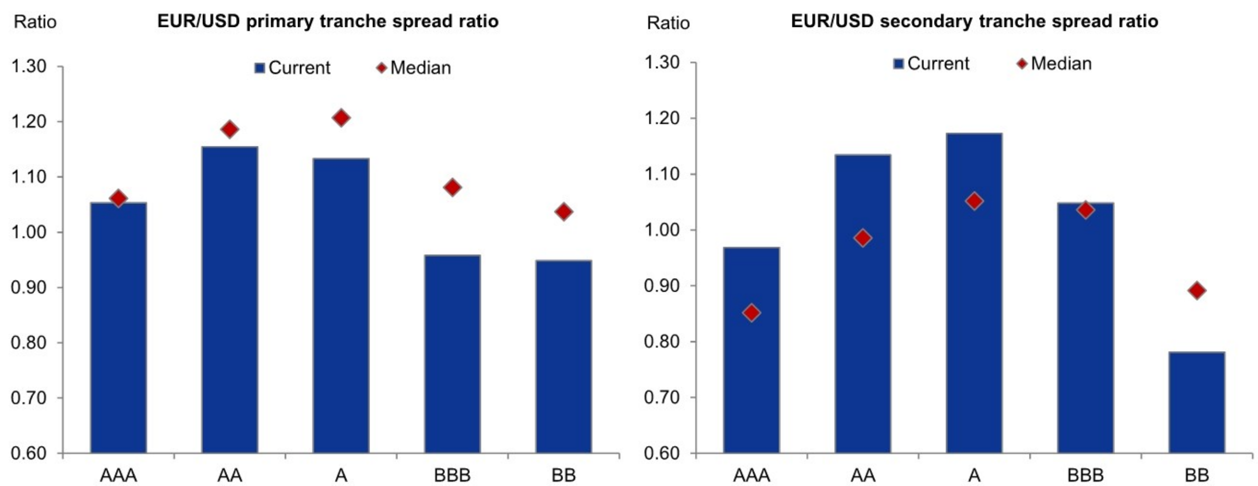
Wider EUR arbitrage spreads are not a free lunch

This dynamic has not yet become as entrenched in the EUR market, which is one reason EUR equity can appear optically cheaper. While this structural reason should favor EUR equity, and has led to higher equity returns in the past, the key tension is the relatively worse fundamental picture in the EUR loan market, in our view. Default rates have generally risen over the past two years, whereas USD rates have come off their 2024 peak. Given our forecast for slightly higher EUR defaults from here (owing to a less favorable policy and macroeconomic mix), and loan prices which are rich relative to their USD peers, we think some of the excess spread will serve as compensation for credit losses. While software and other asset-light businesses feature more prominently in the USD loan market, there is still significant asset-light exposure in the EUR market, with maturity walls ramping in 2028.

As wider EUR arb spreads come from both wider debt costs and asset spreads, we do not automatically see a wider arb spread as negative for EUR CLO liabilities. Across the stack, we think EUR IG tranches can offer positive carry relative to their USD peers (Exhibit 4).

Exhibit 4: EUR IG tranches offer a spread pickup relative to USD

EUR/USD tranche spread ratios (adjusted with 5-year cross-currency basis); median since 2021



Source: PitchBook LCD, Palmer Square, Goldman Sachs Global Investment Research

Tighter resets

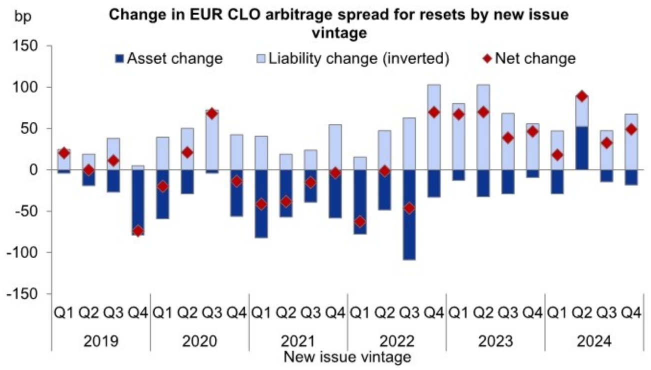
A key benefit of the deal-level framework is that it allows us to track how the economics of a transaction evolve when it is reset or refinanced. Here the contrast between the USD and EUR markets has been notable. In USD, the repricing wave in the loan market has been much more pronounced, and that has meant tighter asset spreads on reset portfolios. As a result, the improvement in liability costs has often been partly or fully offset by reduced asset income. For deals issued since 2023, reset economics in USD have improved only modestly (Exhibit 5).

Conversely, the EUR market deal economics have improved by 50bp for new issues from 2023 onward (Exhibit 6). That likely reflects three factors, in our view. First, loan spread compression has been less aggressive because repricing activity has been slightly more muted vs. the USD market (Exhibit 7). Second, loan supply has generally been somewhat more supportive for redeployment. Third, we think captive funds are more likely to reset CLOs, extend reinvestment periods, and continue to attract management fees at tighter deal economics.

Exhibit 5: USD deal economics have improved by less than 20bp on reset since 2023

Source: Intex, Goldman Sachs Global Investment Research

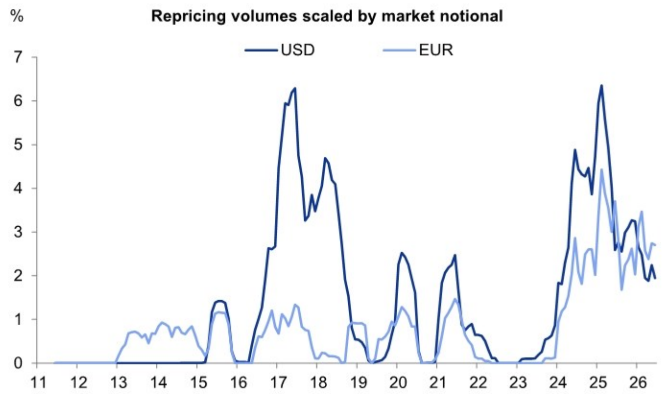
Exhibit 6: Whereas EUR deals have improved by nearly 50bp over the same period



Source: Intex, Goldman Sachs Global Investment Research

Exhibit 7: EUR new issue loan spreads have lagged the tightening impulse, in part because of lower repricing volumes

Trailing 6-month repricing volumes scaled by index notional for USD and EUR BSL market



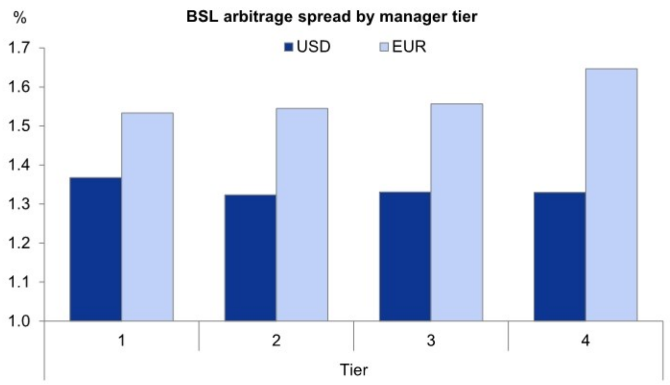
Source: Pitchbook LCD, Goldman Sachs Global Investment Research

How are managers faring?

In prior work, we have used market pricing to develop CLO manager tiers. Given our tiers are based on liability pricing, the implicit assumption is that the arbitrage spread is roughly similar or proportional across these managers (i.e., managers with tighter liability spreads invest in lower spread assets and vice versa), translating to arbitrage spreads flat across tiers. However, the data supports a more nuanced view.

Using deals from 2026, we find that higher-tiered (tier 1) managers actually have slightly wider arbitrage spreads in the USD market. Conversely, lower-tiered managers (tier 4) in the EUR market have wider arbitrage spreads (Exhibit 8). In the USD BSL market there is both less variation in asset spreads and larger variation in liability spreads across manger tiers, both of which have meant higher-tiered managers are able to capture lower debt costs without forgoing excess spread. Meanwhile, AAA spreads across manager tiers separated by less than 6bp in EUR BSL market, and asset spreads have been more dispersed; the median tier 4 manager asset spread is nearly 50bp wider than that for tier 1 managers.

Exhibit 8: Arbitrage spreads are slightly wider for most defensive managers, while EUR CLO spreads exhibit the opposite pattern



Source: PitchBook LCD, Intex, Goldman Sachs Global Investment Research

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Disclosure Appendix

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